Group Assignment Cover Sheet

MBA 2024/2025

Note: This cover sheet should be incorporated within your assignment document and should not be submitted as a separate document.

Group Blind Grade numbers (BGNs) (e.g.6304M, 6614L)**:**
OR Full Names of all group members, if specified in submission instructions on learn.jbs

Group No:

Assignment Code: MBA98 Group assignment

Name of Course: Advanced Strategy

Lecturer for this Coursework: Allegre Hadida

Hand-in date: 06/June/2025

Word Count: 998

We confirm that this piece of work is our own and does not violate the Cambridge Judge Business School's guidelines on plagiarism – see the Programme Handbook & CJBS plagiarism

Each group should only submit ONE copy of the assignment, but all group members are responsible for ensuring that the assignment is submitted on time.

The Advanced Strategy module will be assessed by one Group Assignment (100%) with a 1,000 maximum word limit.

This assignment is intended to provide an opportunity to integrate the material from this module by applying it to a real-world organisation. It is also designed to improve such important managerial skills as: project management, report writing and analysis.

Groups are required to identify one core strategy challenge in an existing organisation of their choosing, for-profit or non-for-profit, and to analyse and propose ways to address this challenge using the concepts, models, frameworks and tools introduced and discussed in class and in the essential reading. The chosen organisation must have a minimum of ten (10) employees. Groups are NOT ALLOWED to write about an organisation extensively discussed in this and other Cambridge MBA modules, or in which one of the group members currently works or worked immediately prior to joining the Cambridge MBA. They are encouraged to discuss their choice of organisation with the course leader and/or teaching assistant. It is not necessary to have direct access to the organisation. Groups may choose an organisation that is currently in the news, as long as they can gather enough information to develop a compelling analysis.

Although not every one of the concepts, models, frameworks and tools introduced and discussed in class and in the essential reading may be needed or appropriate for the analysis of the identified strategic challenge and chosen organisation, the assignment will be expected to integrate a broad array of relevant concepts and approaches.

Assignments should take into consideration and show a good understanding of the following elements:

- *the organisation's industry or ecosystem,*
- *business model,*
- *governance structure,*
- *core markets,*
- *products and experiences delivered.*

The core strategy challenge should be identified and discussed as appropriate. Relevant and systematically referenced data should support all statements and analyses. Furthermore, the analysis should offer a realistic and coherent way forward, and explain why, how and when the organisation should address the identified challenge. For instance, by changing its existing business strategy, diversifying into new markets and/or offerings, or getting into a merger or strategic alliance (if so, with whom and where).

Strategic Analysis: Applying Blue Ocean Strategy to NVIDIA

NVIDIA, a global leader in graphics processing units (GPUs), artificial intelligence (AI), and high-performance computing, operates within a rapidly evolving and highly competitive technology landscape. Its influence extends across core markets including gaming, data centres, professional visualisation, and automotive solutions. While NVIDIA has consistently led through technological innovation, it faces a significant strategic challenge: overreliance on the GPU market, which is increasingly saturated and vulnerable to intense pricing pressure, technological convergence, and geopolitical constraints.

This analysis proposes that NVIDIA address this core challenge by applying the principles of Blue Ocean Strategy, as outlined by Kim and Mauborgne (2015). Unlike traditional strategies that focus on outperforming competitors in existing markets, Blue Ocean Strategy advocates the creation of uncontested market space. This requires shifting from a red ocean of intense rivalry to a blue ocean where competition becomes irrelevant. The strategic question facing NVIDIA is how to reduce its dependence on intensifying competition in GPU markets while leveraging its capabilities to enter new arenas.

NVIDIA has already taken preliminary steps in this direction through the development of Omniverse, a real-time 3D simulation and collaboration platform. However, this platform remains underutilised and under-commercialised, particularly in enterprise and industrial applications. The proposal is for

NVIDIA to reposition Omniverse as the foundation of a broader Simulation-as-a-Service platform targeting industries such as logistics, healthcare, urban planning, and advanced manufacturing. This move would allow NVIDIA to move beyond hardware dependence and generate new streams of recurring software revenue.

Applying the Four Actions Framework from Blue Ocean Strategy provides a structured method for reimagining NVIDIA's strategic direction. First, the firm should eliminate its narrow focus on hardware performance benchmarks as a primary differentiator, especially in the gaming segment. Second, it should reduce its overinvestment in incremental GPU improvements that are yielding diminishing returns. Third, NVIDIA must raise its commitment to developing integrated software and AI solutions tailored to industry-specific simulation needs. Lastly, and most critically, the company should create a new offering by transforming Omniverse into a full-stack platform for building and operating digital twins in the enterprise space.

This strategy fits within the broader ecosystem in which NVIDIA operates. The firm already possesses a strong foundation of AI frameworks, developer tools, and partnerships with cloud providers such as Microsoft Azure and Amazon Web Services. Leveraging these existing assets, NVIDIA can position Omniverse as a platform that allows clients to develop, test, and deploy simulations across diverse domains. For instance, urban planners could simulate traffic flow using real-time data, manufacturers could optimise factory layouts virtually, and healthcare providers could train medical professionals in a risk-free environment.

From a governance perspective, implementing this strategic shift would require the formation of a dedicated division reporting directly to senior leadership. This division should focus on product development, ecosystem engagement, and industry partnerships. Performance indicators must be aligned with adoption rates, ecosystem growth, and recurring revenue generation. The business model would evolve from primarily transactional sales of hardware to a Software-as-a-Service (SaaS) model featuring tiered pricing, marketplace integration, and co-development opportunities with enterprise partners.

The benefits of this strategic transformation are multifaceted. Firstly, it allows NVIDIA to escape the cyclical nature of the hardware business by creating a recurring revenue stream. Secondly, it positions the company at the forefront of digital transformation in critical industries. Thirdly, it enhances the stickiness of the NVIDIA ecosystem, making it more difficult for competitors to displace its solutions. As Grant (2022) notes, firms that integrate resources into platforms and ecosystems are more likely to generate sustainable competitive advantage in dynamic environments.

Nevertheless, this strategy is not without risks. Adoption rates may be slow if enterprises lack the digital maturity or technical skills to implement simulation platforms effectively. There is also the challenge of shifting internal focus from product engineering to platform and service delivery. These risks can be mitigated by investing in user-friendly interfaces, offering onboarding and support services, and nurturing a developer community akin to NVIDIA's success with CUDA. Additionally, pilot partnerships with established firms in key industries can help demonstrate the value of Omniverse and accelerate credibility in new markets.

Transparency and fairness, principles drawn from broader management literature, are critical in ensuring that such a transformation is accepted internally and externally. As Willink and Babin (2015) argue, extreme ownership and clarity in execution are essential for driving organisational change. Senior leaders must communicate the vision clearly, outline expectations, and align incentives to encourage cross-functional collaboration. Feedback mechanisms should be established to gather input from stakeholders and refine the offering iteratively.

This strategic redirection also supports NVIDIA’s long-term ambitions in AI and automation. By shifting from discrete hardware products to integrated platforms, NVIDIA reinforces its role as an enabler of next-generation computing solutions. Moreover, the move aligns with global trends towards digital twins, smart cities, and AI-driven automation. Rumelt’s (2011) insistence on coherent action is evident in this approach: it connects market insights, organisational capabilities, and execution pathways into a unified direction.

In conclusion, NVIDIA's strategic challenge of overdependence on a highly competitive GPU market can be effectively addressed through the application of Blue Ocean Strategy. By leveraging its existing assets to create a new market for AI-driven simulation platforms, the company can unlock uncontested growth opportunities. This approach requires a fundamental shift in mindset, business model, and internal alignment, but the potential rewards in terms of market leadership, resilience, and innovation are substantial. If executed with discipline and ownership, this strategic pivot can define NVIDIA's next phase of growth and ensure its continued relevance in a rapidly transforming technological landscape.

References

1) **Grant, R.M.**, 2022. 'Contemporary strategy analysis'. In: *Contemporary Strategy Analysis*. 11th ed. Hoboken, NJ: Wiley.

2) **Kim, W.C. and Mauborgne, R.**, *Blue Ocean Strategy: How to Create Uncontested Market Space and Make the Competition Irrelevant*. [Place of publication not provided]: [Publisher not provided].

3) **Rumelt, R.**, *Good Strategy Bad Strategy*. London: [Publisher not provided].

4) **Willink, J. and Babin, L.**, 2015. *Extreme Ownership: How U.S. Navy SEALs Lead and Win*. New York: St. Martin's Press.